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Virgin Media's CMA Setback Threatens Debt Cuts

Read Research Report: Virgin Media O2 Private Company Research



Erhan Gurses
Team: Telecom
BI Industry Analyst

Virgin Media Turnaround Push Clouded by Netomnia Deal Block Risk

(Bloomberg Intelligence) -- Virgin Media O2's near-term debt reduction would take a £950 million hit (0.25x of leverage) if nexfibre's proposed acquisition of Netomnia parent Substantial is blocked, though recurring cash flow would benefit from avoiding about £400 million by 2028 wholesale fees, according to our scenario. We put failure odds at 40% after the UK CMA's provisional competition concerns, with approval likely to require strict remedies, diluting the deal's benefits. The CMA assumes CityFibre would acquire Substantial in the absence of a nexfibre deal, creating a larger independent wholesale rival, though CityFibre's ailing financial viability tests the assumption. (10/09/26)

1. CMA Review Raises Netomnia Deal Failure Odds to 40%

The UK Competition and Markets Authority (CMA)'s Oct. 2 provisional finding that nexfibre's £2 billion acquisition of Substantial Group, parent of full-fiber networks Netomnia and retail providers Brsk and YouFibre, would markedly lessen wholesale fixed-broadband competition across the parties' combined full-fiber footprint is a significant setback for Virgin Media and nexfibre partners Liberty Global and Telefonica.

We calculate the odds of outright rejection at about 40%, with the remaining 60% prospect of approval likely to rely on strict remedies involving pricing and investment concessions that would dilute the deal's benefits. The regulator's assessment assumes that, without the deal, CityFibre would acquire Substantial, sell its retail arm and offer wholesale access to the network, rather than financially pressured Substantial remaining a stand-alone entity. It also assumes VMO2 would continue its fiber upgrade and enter the wholesale market.

The CMA is seeking to foster a three-company wholesale market. It calculates that areas served by three networks -- Openreach, CityFibre and VMO2/nexfibre --would fall to 18% of VMO2/nexfibre's future full-fiber footprint under the deal, from 32% without it. Substantial overlaps with 26% of VMO2/nexfibre's footprint, rising to 82% after VMO2's full-fiber conversion.

A block would echo the Dutch CMA's June 8 rejection of Glaspoort's Delta Fiber deal and leave Openreach, VMO2/nexfibre and a larger CityFibre as three scaled wholesale providers, assuming CityFibre maintains financial viability and VMO2/nexfibre opens its network to wholesale customers.

Remedy submissions are due Oct. 16, representations Oct. 23 and the final decision by Dec. 15, with the UK CMA expected to consult on remedies in between. (10/09/26)

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VMO2, nexfibre Fiber Overlap With Rivals

Provider	Counterfactual — VMO2/nexfibre footprint	Post nexfibre transaction — Merged entity footprint
Substantial	13.6	-
CityFibre	18.2	17.7
Combined CityFibre/Substantial	31.9	-
Openreach FTTP	100	100
Community Fibre	[5–10]	[5–10]

Note: The fiber footprint reflects CMA's projection of full fiber conversion of entire network for BT and VMO2/nexfiber entities.
Source: CMA

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2. Deal Block Dents VMO2 Leverage, Aids Recurring Cash Flow

A block of nexfibre's Netomnia acquisition would deepen Virgin Media O2's leverage bind despite offering medium-term cash-flow relief. VMO2 would forgo £1.1 billion of cash and a 15% indirect nexfibre stake for its 4.6 million-premise traffic commitment, while avoiding the £150 million purchase of more than 500,000 retail customers. That leaves £950 million less for debt reduction, equal to 0.25x of leverage. VMO2 would also retain responsibility for cable-to-fiber upgrades, though timing and commitment would remain uncertain.

The offset is the removal of wholesale fees on customers within 2.5 million overlapping homes and progressively across the adjacent 2.1 million footprint. Our scenario puts these fees at about £400 million in 2028 and the transaction's net free-cash-flow drag at about £160 million after retail profit, services revenue, capex and interest benefits. Rejection is therefore negative for near-term deleveraging but positive for recurring cash flow vs. the deal case.

Still, a CityFibre acquisition of Substantial Group would preserve a larger independent wholesale rival, removing any consolidation-led competitive relief. With our fundamentals and aggressive cost-cut scenarios leaving 2028 leverage at 5.8x and 5.5x vs. a 4-5x target, a review of network separation option through nexfibre might return sooner into agenda.

An alternative means to reduce debt without restructuring or parent cash infusion might involve Virgin Media O2 committing wholesale traffic commitment on up to 9.7 million cable homes-passed to nexfiber, similar to the Netomnia deal arrangement, keeping assets under VMO2 while generating about £2.3 billion of cash for near-term debt reduction and eliminating fiber capex, which would cut leverage by 0.5x by 2028, based on our scenario. (10/09/26)

VMO2 Wholesale Traffic Deleveraging Scenario

	Low	Base	High
2028 committed footprint upgraded / fee-bearing	60%	50%	40%
Legacy VMO2 penetration in cable footprint	31%	29%	27%
Wholesale monthly access fee per active line (GBP)	19.5	17.5	15.5
Leverage change vs. standalone	**-0.1**	**-0.5**	**-1**

Note: Click to access interactive scenario
Source: Company Filings

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3. CityFibre's Refinancing Complicates Netomnia Deal

CityFibre is likely to struggle to capitalize on the CMA's counterfactual that it would acquire Netomnia and emerge as the UK's main alternative network provider consolidator, as balance-sheet strain offsets improving operations. Auditor BDO flagged significant uncertainty over CitiFibre's ability to continue as a going concern due to limited covenant headroom by June 2027.

The proposed £900 million shareholder equity injection hinges on lenders taking a haircut under a wider refinancing that could include preferred capital and debt-to-equity conversion, according to The Times. That's against about £5.7 billion net debt recorded in 2025.

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The company's 2026 revenue growth of 36% to £164 million so far, Ebitda quadrupling to £60 million, 1.1 million connections and penetration above 26% are supportive, yet an annualized Ebitda run rate above £100 million remains small relative to debt.

A Netomnia purchase would therefore require the recapitalization to close first, and potentially seller rollovers, while the purchase price would likely be below the £2 billion nexfibre planned to pay, given the CMA noted the target's deteriorating stand-alone financial performance. (10/09/26)

CityFibre Performance

	Nine months to 30 Sept 2026	yoy Chg (%)
Revenue (m GBP)	164	36
Consumer Revenue (m GBP)	127	61
Adjusted Ebitda (m GBP)	60	290
Consumer Customer Connections (m)	**1.11**	**52**
Premisses Passes (m)	4.8	2

Source: Company Press Release

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To contact the analyst for this research:

Erhan Gurses at egurses@bloomberg.net

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